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March 5, 2026

COMMITTEE SUBSTITUTE
FOR

SENATE BILL NO. 1913 By: Reinhardt of the Sen

By: Reinhardt of the Senate

and

Tedford of the House

[insurance - proceedings - supplemental report - determinations - civil penalty - penalty amount - approvals - restitution - rates - first claim - premium discounts - rate reductions - inquiry response - dispute resolution program - mediation - negotiation - requirements - settlement agreements - rules - detailed estimate - Homeowners Claims Bill of Rights - violations - time period - notice - explanation - interest - appeal process - policy - roof age - codification - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 12 O.S. 2021, Section 1804, is amended to read as follows:

Section 1804. A. Prior to commencement of any dispute resolution proceedings, the disputing parties shall enter into a written consent which specifies the method by which the parties shall attempt to resolve the issues in dispute.

1 B. The written consent shall be in a form prescribed by the
2 Administrative Director of the Courts and shall include the
3 following:

4 1. The rights and obligations of all parties pursuant to the
5 provisions of the Dispute Resolution Act; and

6 2. The confidentiality of the proceedings.

7 C. If the parties agree to have the resolution reduced to
8 written form, a copy shall be provided to the parties.

9 D. An alternative dispute resolution proceeding conducted
10 pursuant to Section 13 of this act shall not be subject to the
11 requirements of this section.

12 SECTION 2. NEW LAW A new section of law to be codified
13 in the Oklahoma Statutes as Section 311.5 of Title 36, unless there
14 is created a duplication in numbering, reads as follows:

15 A. On a quarterly basis, beginning March 31, 2027, each insurer
16 authorized to write personal and commercial property insurance in
17 this state shall file with the Insurance Department a supplemental
18 report with information regarding personal and commercial
19 residential property insurance policies in this state. Such report
20 shall:

21 1. Be filed electronically in the manner and form prescribed by
22 the Insurance Commissioner in accordance with any instructions from
23 the Department;

1 2. Include separate information for personal lines property
2 policies and for commercial lines property policies; and

3 3. Include the following information for each zip code,
4 monthly:

5 a. the total number of policies in force at the end of
6 each month,

7 b. the total number of policies canceled,

8 c. the total number of policies not renewed,

9 d. the total number of new policies written,

10 e. the total written premium,

11 f. if such insurer is actively writing policies,

12 g. the number of policies that exclude wind coverage,

13 h. the number of new claims open during each month,

14 i. the number of claims closed during each month,

15 j. the number of claims pending at the end of each month,
16 and

17 k. the number of claims in which either the insurer or
18 insured invoked any form of alternative dispute
19 resolution.

20 B. Supplemental quarterly reports filed with the Commissioner
21 pursuant to this section shall be treated as working papers and
22 documents pursuant to subsection F of Section 309.4 of Title 36 of
23 the Oklahoma Statutes.
24

1 C. The Insurance Commissioner may use supplemental quarterly
2 reports to assist in determining whether a market conduct
3 examination or investigation of an insurer should be conducted. For
4 the purposes of completing a market conduct examination of any
5 company pursuant to Sections 309.1 through 309.7 of Title 36 of the
6 Oklahoma Statutes, the Commissioner may use supplemental quarterly
7 reports or amendments or addendums to such reports to assist in
8 determining compliance with the laws of this state and rules adopted
9 by the Commissioner.

10 D. The Commissioner may, after notice and opportunity to be
11 heard for an insurer, subject such insurer to a civil penalty of up
12 to One Thousand Dollars (\$1,000.00) for each occurrence of a
13 violation of the provisions of this section, along with any other
14 penalties set forth in state law.

15 SECTION 3. AMENDATORY Section 7, Chapter 345, O.S.L.
16 2024 (36 O.S. Supp. 2025, Section 322), is amended to read as
17 follows:

18 Section 322. A. The Insurance Commissioner may, if the
19 Commissioner finds that any person or organization has violated the
20 provisions of any statute, rule, bulletin, or order for which the
21 Commissioner has jurisdiction, impose a penalty ~~of~~ not more than
22 ~~Five Thousand Dollars (\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00)
23 for each such violation. In addition to or in lieu of any fine, the
24 Commissioner may suspend, refuse to renew, put on probation, or

1 revoke an insurer's certificate of authority, license, or any other
2 registration or similar approval that has been issued by the
3 Commissioner to conduct business in this state. Such penalties may
4 be in addition to any other penalty provided by law.

5 B. The Commissioner may direct the person or organization
6 against whom the order was issued to make complete restitution, in
7 the form, manner, and amount within a time period prescribed by the
8 Commissioner, to all residents or insured persons of this state or
9 entities operating in this state damaged by the violation or failure
10 to comply with the provisions of any statute, rule, bulletin, or
11 order for which the Commissioner has jurisdiction.

12 C. No penalty shall be imposed except upon a written order of
13 the Commissioner or the appointed independent hearing examiner,
14 stating the findings of the Commissioner or the appointed
15 independent hearing examiner after notice and opportunity for a
16 hearing in accordance with Article II of the Administrative
17 Procedures Act.

18 SECTION 4. AMENDATORY 36 O.S. 2021, Section 908, as
19 amended by Section 2, Chapter 195, O.S.L. 2024 (36 O.S. Supp. 2025,
20 Section 908), is amended to read as follows:

21 Section 908. A. The Insurance Commissioner may, if the
22 Commissioner finds that any person or organization has violated the
23 provisions of any statute, rule, or order for which the Commissioner
24 has jurisdiction, impose a penalty of not more than ~~Five Thousand~~

1 ~~Dollars (\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00) for each such
2 violation. In addition to or in lieu of any fine, the Commissioner
3 may suspend, refuse to renew, put on probation, or revoke an
4 insurer's certificate of authority, license, or any other
5 registration or similar approval that has been issued by the
6 Commissioner to conduct business in this state. Such penalties may
7 be in addition to any other penalty provided by law.

8 B. The Commissioner may direct the person or organization
9 against whom the order was issued to make complete restitution, in
10 the form, manner, and amount within a time period prescribed by the
11 Commissioner, to all residents or insured persons of this state or
12 entities operating in this state damaged by the violation or failure
13 to comply with the provisions of any statute, rule, bulletin, or
14 order for which the Commissioner has jurisdiction.

15 C. No penalty shall be imposed except upon a written order of
16 the Commissioner or the appointed independent hearing examiner,
17 stating the findings of the Commissioner or the appointed
18 independent hearing examiner after notice and opportunity for a
19 hearing in accordance with Article II of the Administrative
20 Procedures Act.

21 SECTION 5. AMENDATORY 36 O.S. 2021, Section 942, is
22 amended to read as follows:

23 Section 942. Any insurance carrier that issues motor vehicle
24 liability or collision insurance policies in this state shall not

1 establish or apply premium rates, increase premium rates, cancel a
2 policy, or refuse to issue or renew a policy, based on any traffic
3 record ~~maintained by the Department of Public Safety which~~
4 including, but not limited to, traffic complaints, traffic
5 citations, or other legal forms of traffic charges and accident
6 reports, that covers a period of time more than three (3) years
7 prior to the date the insurance carrier makes a determination to
8 take any such action; provided, however, those offenses that are
9 provided for in subsection C of Section 941 of this title and the
10 offense of reckless driving as provided for in Section 11-901 of
11 Title 47 of the Oklahoma Statutes may be considered by an insurance
12 carrier for a period ~~of~~ not more than five (5) years.

13 SECTION 6. AMENDATORY 36 O.S. 2021, Section 943, is
14 amended to read as follows:

15 Section 943. A. No insurance carrier who issues motor vehicle
16 policies in this state shall use traffic complaints, traffic
17 citations, or other legal forms of traffic charges as a basis for
18 cancellation of a motor vehicle insurance policy, increasing premium
19 rates for a motor vehicle insurance policy, or refusing to issue or
20 renew a motor vehicle insurance policy, where the insured was:

- 21 1. ~~the insured was acquitted~~ Acquitted of the charge;
- 22 2. ~~the insured was arrested~~ Arrested and no charges were filed;

23 or
24

1 3. ~~the insured was arrested~~ Arrested and the charges were
2 dismissed.

3 B. No insurer shall cancel, refuse to renew, or otherwise
4 terminate a motor vehicle policy that has been in effect more than
5 forty-five (45) days solely because the insurer filed a first claim
6 against the policy. Nothing in this subsection shall be construed
7 to prevent the cancellation, nonrenewal, or other termination for:

8 1. Nonpayment of premium;

9 2. Discovery of fraud or material misrepresentation in the
10 procurement of the insurance or with respect to any claims
11 submitted;

12 3. Offenses set forth in subsection C of Section 941 of this
13 title;

14 4. Offenses set forth in Section 11-901 of Title 47 of the
15 Oklahoma Statutes; or

16 5. A determination by the Insurance Commissioner that the
17 continuation of the policy would place the insurer in violation of
18 the insurance laws of this state.

19 C. The Insurance Commissioner may suspend or revoke, after
20 notice and hearing, the certificate of authority to transact
21 insurance business in this state of any insurance carrier violating
22 the provisions of this section or may censure the insurer or impose
23 a fine.

1 SECTION 7. AMENDATORY 36 O.S. 2021, Section 961, is
2 amended to read as follows:

3 Section 961. A. ~~Commencing on April 1, 2018, insurance~~
4 Insurance companies shall provide a premium discount or insurance
5 rate reduction in an amount and manner as established in subsection
6 D of this section and pursuant to Section 3 ~~of this act only when~~
7 ~~the company determines that the premium discount or rate reduction~~
8 ~~is actuarially justified and there is sufficient and credible~~
9 ~~evidence of cost savings~~ 963 of this title, which can be attributed
10 to the construction standards set forth in subsection B of this
11 section. A premium discount or rate reduction shall be available
12 under the terms specified in this section to any owner who builds or
13 locates a new insurable property in ~~the State of Oklahoma~~ this state
14 to resist loss due to tornado or other catastrophic windstorm
15 events. ~~Insurance companies shall be required to offer such a~~
16 ~~premium discount or rate reduction only when the insurer determines~~
17 ~~they are actuarially justified and there is sufficient and credible~~
18 ~~evidence of cost savings, which can be attributed to the~~
19 ~~construction standards set forth in subsection B of this section.~~
20 In addition, insurance companies may also offer additional
21 adjustments in deductible, other risk differentials, or ~~a~~ any
22 combination ~~thereof~~, collectively referred to as other adjustments.

23 B. To obtain the premium discount, rate reduction, or other
24 adjustment provided in this section, an insurable property located

1 in this state shall be certified as constructed in accordance with
2 Appendix ~~Y~~ X of the ~~2015~~ 2018 International Building Code, as
3 adopted by the Oklahoma Uniform Building Code, as amended, including
4 all tornado mitigation construction requirements, as long as its
5 standards are equal to or greater than the FORTIFIED Home High Wind
6 and Hail Standards as certified by the Insurance Institute for
7 Business and Home Safety (IBHS), or the FORTIFIED Home High Wind and
8 Hail Standards as may from time to time be adopted by the Insurance
9 Institute for Business and Home Safety or successor entity. An
10 insurable property shall be certified as conforming to the
11 applicable building code only after an inspection of the insurable
12 property has been satisfactorily completed by a certified or
13 licensed building inspector and certified to be conforming to the
14 applicable building code including all high wind and hail mitigation
15 construction requirements. An insurable property shall be certified
16 as conforming to the FORTIFIED Home High Wind and Hail Standards
17 only after evaluation and certification by an evaluator certified
18 pursuant to the FORTIFIED Home High Wind and Hail Standards.

19 C. An owner of insurable property claiming a premium discount,
20 rate reduction, or other adjustment pursuant to this section shall
21 maintain sufficient certification records and construction records
22 including, but not limited to, a certification of compliance with
23 the applicable building code or the FORTIFIED Home High Wind and
24 Hail Standards provided in subsection B of this section, receipts

1 from contractors, receipts for materials, and records from local
2 building officials. The records shall be subject to audit by the
3 Insurance Commissioner, or his or her representatives, and copies of
4 any such records shall be presented to the insurer or potential
5 insurer of a property owner before the premium discount, rate
6 reduction, or other adjustment becomes effective for the insurable
7 property.

8 D. Insurers that write policies that are subject to the premium
9 discount or rate reduction in this section and that are required to
10 submit rates and rating plans to the Commissioner pursuant to
11 Section 987 of ~~Title 36 of the Oklahoma Statutes~~ this title shall
12 submit ~~a rating plan~~ plans certified by their actuary ~~as actuarially~~
13 ~~justified~~ providing for the premium ~~discount~~ discounts or rate
14 ~~reduction~~ reductions described in this section. An insurer is not
15 required to provide the same amount of premium discount, rate
16 reduction, or other adjustment for a building code insurable
17 property as the insurer would to an insurable property conforming to
18 the FORTIFIED Home High Wind and Hail Standards. A premium
19 discount, rate reduction, or other adjustment shall only apply to
20 policies that provide wind or hail coverage and to that portion of
21 the premium for wind or hail coverage. A premium discount, rate
22 reduction, or other adjustment shall apply exclusively to the wind
23 and hail premium applicable to improved insurable property. If an
24 insurer already offers ~~an actuarially justified~~ a hail resistance

1 discount, that hail-related discount shall be deemed as having met
2 the requirements of ~~this act~~ Section 961 et seq. of this title as it
3 pertains to hail-related discounts or rate reductions and no
4 additional hail-related discount or rate reduction shall be
5 required. If an insurer already offers ~~an actuarially justified a~~
6 discount for IBHS FORTIFIED Home ~~standards~~ High Wind and Hail
7 Standards, that discount shall be deemed as having met the
8 requirements of ~~this act~~ Section 961 et seq. of this title as it
9 pertains to wind-related discounts or rate reductions and no
10 additional wind-related discount or rate reduction shall be
11 required. Insurers shall apply any applicable premium discount,
12 rate reduction, or other adjustment to the wind and hail premium at
13 the policy renewal that follows the submission of the certification
14 to the insurer. At the time of a policy renewal for which a premium
15 discount, rate reduction, or other adjustment has previously been
16 made, the insurer may request documentation or recertification that
17 the ~~fortified standards~~ IBHS FORTIFIED Home High Wind and Hail
18 Standards as described in ~~subsection~~ subsections B and C of this
19 section continue to be met. In addition to the requirements of this
20 section, an insurer may voluntarily offer any other mitigation
21 adjustment that the insurer deems appropriate.

22 SECTION 8. AMENDATORY 36 O.S. 2021, Section 962, is
23 amended to read as follows:
24

1 Section 962. A. ~~Commencing on April 1, 2018, insurance~~
2 Insurance companies shall provide a premium discount or insurance
3 rate reduction in an amount and manner as established in subsection
4 D of this section and pursuant to Section ~~3 of this act only when~~
5 ~~the company determines that the premium discount or rate reduction~~
6 ~~is actuarially justified and there is sufficient and credible~~
7 ~~evidence of cost savings~~ 963 of this title, which can be attributed
8 to the construction standards set forth in subsection B of this
9 section. A premium discount or rate reduction shall be available
10 under the terms specified in this section to any owner who retrofits
11 his or her insurable property located in ~~the State of Oklahoma~~ this
12 state to resist loss due to tornado or other catastrophic windstorm
13 events. ~~Insurance companies shall be required to offer a premium~~
14 ~~discount or rate reduction only when the insurer has deemed the~~
15 ~~adjustments to be actuarially justified and there is sufficient and~~
16 ~~credible evidence of cost savings, which can be attributed to the~~
17 ~~construction standards set forth in subsection B of this section.~~
18 In addition, insurance companies may also offer additional
19 adjustments in deductible, other risk differentials, or ~~a~~ any
20 combination ~~thereof~~, collectively referred to as other adjustments.

21 B. To obtain the premium discount, rate reduction, or other
22 adjustment provided in this section, an insurable property shall be
23 retrofitted to the FORTIFIED Home High Wind and Hail Standards, as
24 ~~may from time to time be adopted~~ certified by the Insurance

1 Institute for Business and Home Safety (IBHS). Wind-Zone-3-HUD-Code
2 manufactured homes installed on a permanent foundation and
3 retrofitted as defined in the FORTIFIED Home High Wind and Hail
4 Standards, as ~~may from time to time be adopted~~ certified by the
5 Insurance Institute for Business and Home Safety, shall be eligible
6 for the premium discount or rate reduction provided in this section.
7 An insurable property shall be certified as conforming to FORTIFIED
8 Home High Wind and Hail Standards only after evaluation and
9 certification by an evaluator certified pursuant to the FORTIFIED
10 Home High Wind and Hail Standards.

11 C. An owner of insurable property claiming a premium discount,
12 rate reduction, or other adjustment pursuant to this section shall
13 maintain sufficient certification records and construction records
14 including, but not limited to, a certification of compliance with
15 the FORTIFIED Home High Wind and Hail Standards as provided in
16 subsection B of this section, receipts from contractors, and
17 receipts for materials. The records shall be subject to audit by
18 the Insurance Commissioner, or his or her representatives, and
19 copies of any such records shall be presented to the insurer or
20 potential insurer of a property owner before the premium discount,
21 rate reduction, or other adjustment becomes effective for the
22 insurable property.

23 D. Insurers that write policies that are subject to the premium
24 discount or rate reduction in this section and that are required to

1 submit rates and rating plans to the Commissioner pursuant to
2 Section 987 of ~~Title 36 of the Oklahoma Statutes~~ this title shall
3 submit rating plans certified by their actuary ~~as actuarially~~
4 ~~justified~~ providing for the premium discounts or rate reductions
5 described in this section. A premium discount, rate reduction, or
6 other adjustment shall only apply to policies that provide wind or
7 hail coverage and to that portion of the premium for wind or hail
8 coverage. A premium discount, rate reduction, or other adjustment
9 shall apply exclusively to the wind and hail premium applicable to
10 improved insurable property. If an insurer already offers ~~an~~
11 ~~actuarially justified~~ a hail resistance discount, that hail-related
12 discount shall be deemed as having met the requirements of ~~this act~~
13 Section 961 et seq. of this title as it pertains to hail-related
14 discounts or rate reductions and no additional hail-related discount
15 or rate reduction shall be required. If an insurer already offers
16 ~~an actuarially justified~~ a discount for IBHS FORTIFIED Home
17 ~~standards~~ High Wind and Hail Standards, that discount shall be
18 deemed as having met the requirements of ~~this act~~ Section 961 et
19 seq. of this title as it pertains to wind-related discounts or rate
20 reductions and no additional wind-related discount or rate reduction
21 shall be required. Insurers shall apply the premium discount, rate
22 reduction, or other adjustment to the wind and hail premium at the
23 policy renewal that follows the submission of the certification to
24 the insurer. At the time of a policy renewal for which a premium

1 discount, rate reduction, or other adjustment has previously been
2 made, the insurer may request documentation or recertification that
3 the ~~fortified standards~~ IBHS FORTIFIED High Wind and Hail Standards
4 as described in ~~subsection~~ subsections B and C of this section
5 continue to be met. In addition to the requirements of this
6 section, an insurer may voluntarily offer any other mitigation
7 adjustment that the insurer deems appropriate.

8 SECTION 9. AMENDATORY 36 O.S. 2021, Section 1204, as
9 amended by Section 16, Chapter 360, O.S.L. 2024 (36 O.S. Supp. 2025,
10 Section 1204), is amended to read as follows:

11 Section 1204. The following are hereby defined as unfair
12 methods of competition and unfair and deceptive acts or practices in
13 the business of insurance:

14 1. Misrepresentations and false advertising of policy
15 contracts. Making, issuing, circulating, or causing to be made,
16 issued, or circulated, any estimate, illustration, circular, or
17 statement misrepresenting the terms of any policy issued or to be
18 issued or the benefits or advantages promised thereby or the
19 dividends or share of the surplus to be received thereon, or making
20 any false or misleading statement as to the dividends or share of
21 surplus previously paid on similar policies, or making any
22 misleading representation or any misrepresentation as to the
23 financial condition of any insurer, or as to the legal reserve
24 system upon which any life insurer operates, or using any name or

1 title of any policy or class of policies misrepresenting the true
2 nature thereof, or making any misrepresentation to any policyholder
3 insured in any company for the purpose of inducing or tending to
4 induce such policyholder to lapse, forfeit, or surrender his or her
5 insurance;

6 2. False information and advertising generally. Making,
7 publishing, disseminating, circulating, or placing before the
8 public, or causing, directly or indirectly, to be made, published,
9 disseminated, circulated, or placed before the public, in a
10 newspaper, magazine, or other publication, or in the form of a
11 notice, circular, pamphlet, letter, or poster, or over any radio or
12 television station, or in any other way an advertisement,
13 announcement, or statement containing any assertion, representation,
14 or statement with respect to the business of insurance or with
15 respect to any person in the conduct of his or her insurance
16 business which is untrue, deceptive, or misleading. No insurance
17 company shall issue, or cause to be issued, any policy of insurance
18 of any type or description upon life, or property, real or personal,
19 whenever such policy of insurance is to be furnished or delivered to
20 the purchaser or bailee of any property, real or personal, as an
21 inducement to purchase or bail such property, real or personal, and
22 no other person shall advertise, offer, or give free insurance,
23 insurance without cost or for less than the approved or customary
24 rate, in connection with the sale or bailment of real or personal

1 property, except as provided in Section 4101 of this title. No
2 person that is not an insurer shall assume or use any name which
3 deceptively infers or suggests that it is an insurer;

4 3. Defamation. Making, publishing, disseminating, or
5 circulating, directly or indirectly, or aiding, abetting, or
6 encouraging the making, publishing, disseminating, or circulating of
7 any oral or written statement or any pamphlet, circular, article, or
8 literature which is false, or maliciously critical of or derogatory
9 to the financial condition of an insurer, and which is calculated to
10 injure any person engaged in the business of insurance;

11 4. Boycott, coercion, and intimidation. Entering into any
12 agreement to commit, or by any concerted action committing, any act
13 of boycott, coercion, or intimidation resulting in or tending to
14 result in unreasonable restraint of, or monopoly in, the business of
15 insurance;

16 5. False financial statements. Filing with any supervisory or
17 other public official, or making, publishing, disseminating,
18 circulating, or delivering to any person, or placing before the
19 public or causing directly or indirectly, to be made, published,
20 disseminated, circulated, delivered to any person, or placed before
21 the public, any false statement of financial condition of an insurer
22 with intent to deceive;

23 6. Making any false entry in any book, report, or statement of
24 any insurer with intent to deceive any agent or examiner lawfully

1 appointed to examine into its condition or into any of its affairs,
2 or any public official to whom such insurer is required by law to
3 report, or who has authority by law to examine into its condition or
4 into any of its affairs, or, with like intent, willfully omitting to
5 make a true entry of any material fact pertaining to the business of
6 such insurer in any book, report, or statement of such insurer;

7 ~~6.~~ 7. Stock operations and advisory board contracts. Issuing
8 or delivering or permitting agents, officers, or employees to issue
9 or deliver agency company stock or other capital stock, or benefit
10 certificates or shares in any common-law corporation, or securities
11 or any special or advisory board contracts or other contracts of any
12 kind promising returns and profits as an inducement to insurance;

13 ~~7.~~ 8. Unfair discrimination.

14 ~~(a)~~ a. Making or permitting any unfair discrimination
15 between individuals of the same class and equal
16 expectation of life in the rates charged for any
17 contract of life insurance or of life annuity or in
18 the dividends or other benefits payable thereon, or in
19 any other of the terms and conditions of such
20 contract.

21 ~~(b)~~ b. Making or permitting any unfair discrimination
22 between individuals of the same class and of
23 essentially the same hazard in the amount of premium,
24 policy fees, or rates charged for any policy or

1 contract of accident or health insurance or in the
2 benefits payable thereunder, or in any of the terms or
3 conditions of such contract, or in any other manner
4 whatever.

5 ~~(e)~~ c. As to kinds of insurance other than life and
6 accident and health, no person shall make or permit
7 any unfair discrimination in favor of particular
8 persons, or between insureds or subjects of insurance
9 having substantially like insuring, risk, and exposure
10 factors, or expense elements, in the terms or
11 conditions of any insurance contract, or in the rate
12 or amount of premium charged therefor. This paragraph
13 shall not apply as to any premium rate in effect
14 pursuant to Article 9 of the Oklahoma Insurance Code;

15 ~~8.~~ 9. Rebates.

16 ~~(a)~~ a. Except as otherwise expressly provided by law,
17 knowingly permitting or offering to make or making any
18 contract of insurance or agreement as to such contract
19 other than as plainly expressed in the contract issued
20 thereon; or paying or allowing, or giving or offering
21 to pay, allow, or give, directly or indirectly, as
22 inducement to any contract of insurance, any rebate of
23 premiums payable on the contract, or any special favor
24 or advantage in the dividends or other benefits

1 thereon, or any valuable consideration or inducement
2 whatever not specified in the contract; except in
3 accordance with an applicable rate filing, rating
4 plan, or rating system filed with and approved by the
5 Insurance Commissioner; or giving or selling or
6 purchasing or offering to give, sell, or purchase as
7 inducement to such insurance, or in connection
8 therewith, any stocks, bonds, or other securities of
9 any company, or any dividends or profits accrued
10 thereon, or anything of value whatsoever not specified
11 in the contract or receiving or accepting as
12 inducement to contracts of insurance, any rebate of
13 premium payable on the contract, or any special favor
14 or advantage in the dividends or other benefit to
15 accrue thereon, or any valuable consideration or
16 inducement not specified in the contract.

17 ~~(b)~~ b. Nothing in paragraph 7 or subparagraph ~~(a)~~ a of this
18 paragraph shall be construed as including within the
19 definition of discrimination or rebates any of the
20 following practices:

21 (1) in the case of any contract of life insurance or
22 life annuity, paying bonuses to policyholders or
23 otherwise abating their premiums in whole or in
24 part out of surplus accumulated from

1 nonparticipating insurance, provided that any
2 such bonuses or abatement of premiums shall be
3 fair and equitable to policyholders and for the
4 best interest of the company and its
5 policyholders,

6 (2) in the case of life or accident and health
7 insurance policies issued on the industrial debit
8 or weekly premium plan, making allowance to
9 policyholders who have continuously for a
10 specified period made premium payments directly
11 to an office of the insurer in an amount which
12 fairly represents the ~~saving~~ savings in
13 collection expense,

14 (3) making a readjustment of the rate of premium for
15 a policy based on the loss or expense experience
16 thereunder, at the end of the first or any
17 subsequent policy year of insurance thereunder,
18 which may be made retroactive only for such
19 policy year,

20 (4) in the case of life insurance companies, allowing
21 its bona fide employees to receive a commission
22 on the premiums paid by them on policies on their
23 own lives,
24

1 (5) issuing life or accident and health policies on a
2 salary saving or payroll deduction plan at a
3 reduced rate commensurate with the savings made
4 by the use of such plan, and

5 (6) paying commissions or other compensation to duly
6 licensed agents or brokers, or allowing or
7 returning to participating policyholders,
8 members, or subscribers, dividends, savings, or
9 unabsorbed premium deposits.

10 ~~(e)~~ c. As used in this section, the word "insurance"
11 includes suretyship and the word "policy" includes
12 bond;

13 ~~9.~~ 10. Coercion prohibited. Requiring as a condition precedent
14 to the purchase of, or the lending of money upon the security of,
15 real or personal property, that any insurance covering such
16 property, or liability arising from the ownership, maintenance, or
17 use thereof, be procured by or on behalf of the vendee or by the
18 borrower in connection with such purchase or loan through any
19 particular person or agent or in any particular insurer, or
20 requiring the payment of a reasonable fee as a condition precedent
21 to the replacement of insurance coverage on mortgaged property at
22 the anniversary date of the policy; provided, however, that this
23 provision shall not prevent the exercise by any such vendor or
24 lender of the right to approve or disapprove any insurer selected to

1 underwrite the insurance, but any disapproval of any insurer shall
2 be on reasonable grounds;

3 ~~10.~~ 11. Inducements. No insurer, agent, broker, solicitor, or
4 other person shall, as an inducement to insurance or in connection
5 with any insurance transaction, provide in any policy for or offer,
6 sell, buy, or offer or promise to buy, sell, give, promise, or allow
7 to the insured or prospective insured or to any other person in his
8 or her behalf in any manner whatsoever:

9 ~~(a)~~ a. any employment,

10 ~~(b)~~ b. any shares of stock or other securities issued or at
11 any time to be issued or any interest therein or
12 rights thereto,

13 ~~(c)~~ c. any advisory board contract, or any similar
14 contract, agreement, or understanding, offering,
15 providing for, or promising any special profits,

16 ~~(d)~~ d. any prizes, goods, wares, merchandise, or tangible
17 property of an aggregate value in excess of One
18 Hundred Dollars (\$100.00), or

19 ~~(e)~~ e. any special favor, advantage, or other benefit in
20 the payment, method of payment, or credit for payment
21 of the premium through the use of credit cards, credit
22 card facilities, credit card lists, or wholesale or
23 retail credit accounts of another person. The
24 provisions of this paragraph shall not apply to

1 individual policies insuring against loss resulting
2 from bodily injury or death by accident as defined by
3 Article 44 of the Oklahoma Insurance Code;

4 ~~11.~~ 12. Premature disposal of premium notes prohibited. No
5 insurer or agent thereof shall hypothecate, sell, or dispose of a
6 promissory note received in payment of any part of a premium on a
7 policy of insurance applied for prior to the delivery of the policy;

8 ~~12.~~ 13. Fraudulent statement in application. Any insurance
9 agent, examining physician, or other person who knowingly or
10 willfully makes a false or fraudulent statement or representation in
11 or relative to an application for insurance, or who makes any such
12 statement to obtain a fee, commission, money, or benefit, shall be
13 guilty of a misdemeanor;

14 ~~13.~~ 14. Deceptive use of financial institution's name in
15 notification or solicitation. Verbally or by any other means
16 notifying or soliciting any person in a manner that:

17 ~~(a)~~ a. mentions the name of an unrelated and unaffiliated
18 financial institution,

19 ~~(b)~~ b. mentions an insurance product or the possible lack
20 of insurance coverage,

21 ~~(c)~~ c. does not mention the actual or trade name of the
22 insurance agency or company on whose behalf the
23 notification or solicitation is provided, and
24

1 ~~(d)~~ d. thereby creates an impression or implication,
2 including by omission, that the financial institution
3 or a financial-institution-authorized entity is or may
4 be the one making the notification or solicitation.

5 Nothing in this paragraph shall be interpreted to prohibit the
6 reference to or use of the name of a financial institution made
7 pursuant to a contractual agreement between the insurer and the
8 financial institution; ~~and~~

9 ~~14.~~ 15. No insurer or prepaid vision plan organization as
10 defined in Section ~~1 of this act~~ 6972 of this title which offers
11 multiple prepaid vision plans may require as a condition of
12 participation in any one prepaid vision plan that a vision care
13 provider participate in any of the other prepaid vision plans
14 offered by the insurer or prepaid vision plan organization; and

15 16. Insurers providing additional coverage for an additional
16 premium as an exception to ordinance or law exclusions shall
17 consider all building codes as being strictly enforced.

18 SECTION 10. AMENDATORY 36 O.S. 2021, Section 1211, is
19 amended to read as follows:

20 Section 1211. A. Any person who violates a cease and desist
21 order of the Insurance Commissioner issued and served pursuant to
22 the provisions of Section 1207 of this title, after it has become
23 final, and while such order is in effect, shall, upon proof thereof
24 to the satisfaction of the court, forfeit and pay to the State of

Oklahoma a civil penalty ~~of not less than One Hundred Dollars~~
~~(\$100.00), nor more than One Thousand Dollars (\$1,000.00)~~ Twenty-
five Thousand Dollars (\$25,000.00) for each violation.

B. The Commissioner may direct the person or organization
against whom the order was issued to make complete restitution, in
the form, manner, and amount within a time period prescribed by the
Commissioner, to all residents or insured persons of this state or
entities operating in this state damaged by the violation or failure
to comply with the provisions of any statute, rule, bulletin, or
order for which the Commissioner has jurisdiction.

SECTION 11. AMENDATORY 36 O.S. 2021, Section 1212, is
amended to read as follows:

Section 1212. The powers vested in the Insurance Commissioner
by this article shall be additional to any other powers to enforce
penalties, fines, or forfeitures authorized by law with respect to
~~the methods, acts and practices hereby declared to be unfair or~~
~~deceptive~~ violations of the provisions of this title.

SECTION 12. AMENDATORY 36 O.S. 2021, Section 1250.4, is
amended to read as follows:

Section 1250.4. A. An insurer's claim files shall be subject
to examination by the Insurance Commissioner or by duly appointed
designees. Such files shall contain all notes and work papers
pertaining to a claim in such detail that pertinent events and the
dates of such events can be reconstructed. In addition, the

1 Insurance Commissioner, authorized employees, and examiners shall
2 have access to any of an insurer's files that may relate to a
3 particular complaint under investigation or to an inquiry or
4 examination by the Insurance Department.

5 B. Any person subject to the jurisdiction of the Commissioner,
6 upon receipt of any inquiry from the Commissioner, shall, within
7 ~~twenty (20)~~ fourteen (14) calendar days from the date of receipt of
8 the inquiry, furnish the Commissioner with an adequate response to
9 the inquiry. The Commissioner may, upon good cause shown and on a
10 case-by-case basis, extend the time allowed for a response for up to
11 seven (7) additional calendar days. Any inquiry or response subject
12 to this subsection shall be delivered electronically.

13 C. Every insurer, upon receipt of any pertinent written
14 communication including, but not limited to ~~e-mail~~, electronic mail
15 or other forms of written electronic communication, or documentation
16 by the insurer of a verbal communication from a claimant which
17 reasonably suggests that a response is expected, shall, within
18 ~~thirty (30)~~ fourteen (14) calendar days after receipt thereof,
19 furnish the claimant with an adequate response to the communication.

20 D. Any violation by an insurer of this section shall subject
21 the insurer to discipline including a civil penalty ~~of not less than~~
22 ~~One Hundred Dollars (\$100.00) nor more than Five Thousand Dollars~~
23 ~~(\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00).

SECTION 13. NEW LAW A new section of law to be codified

in the Oklahoma Statutes as Section 1250.4a of Title 36, unless
there is created a duplication in numbering, reads as follows:

A. For purposes of this section, "claim" means any dispute
between an insurer and a policyholder relating to a material issue
of fact other than a dispute:

1. Where the insurer has a reasonable basis to suspect fraud;

2. When there is no coverage under the policy based on
presented facts as to the cause of loss;

3. Where the insurer has a reasonable basis to believe that the
policyholder has intentionally made a material misrepresentation of
fact that is relevant to the claim, and the entire request for
payment of a loss has been denied on the basis of the material
misrepresentation;

4. When the policyholder suffers no actual monetary or property
loss, based on presented facts;

5. When a claim is outside the time frames prescribed in
applicable law; or

6. When a claim has been paid in full prior to any mediation
session held pursuant to this section.

B. The Insurance Commissioner's dispute resolution program
shall assist consumers and insurance companies effectively,
economically, and fairly, and timely resolve disputes with persons
or entities subject to the jurisdiction of the Insurance

1 Commissioner and related to insurance or service warranty claims.
2 Such dispute resolution period shall be subject to the provisions of
3 Sections 1801 through 1813 of Title 12 of the Oklahoma Statutes.

4 C. Mediation may be requested only by the policyholder as a
5 first-party claimant, a third party as an assignee of the policy
6 benefits, or the insurer.

7 D. Mediation shall be voluntary except that insurers shall
8 participate in any mediation requested by a first-party claimant or
9 third-party claimant, as assignee of the policy benefits that:

10 1. Involves an insurance claim under a residential or
11 commercial residential or automobile insurance policy; and

12 2. Has not commenced civil litigation relating to the claim to
13 be mediated.

14 E. A claim shall not be eligible for mediation unless it has
15 first been submitted and fully processed through the Insurance
16 Department's consumer complaint program.

17 F. All parties to the mediation shall negotiate in good faith
18 to resolve the dispute and shall have the authority to immediately
19 settle the claim. The dispute shall not be required to be resolved
20 in mediation. If a written settlement is reached and the
21 policyholder is not represented by an attorney, the policyholder
22 shall have three (3) business days in which the policyholder may
23 rescind the settlement unless such policyholder has cashed or
24 deposited any check, draft, or other payment made to the

1 policyholder as a result of the settlement. If a settlement
2 agreement is reached and is not rescinded, it shall be binding as a
3 release of all specific claims presented in the mediation
4 conference.

5 G. 1. A mediation conference shall be held as scheduled by the
6 dispute resolution program coordinator. Upon application by any
7 party for continuance, the program coordinator shall, for good cause
8 shown or if neither party objects, grant a continuance and shall
9 notify all parties of the date and place of the rescheduled
10 conference. Good cause shall include:

- 11 a. severe illness, injury, or other emergency that could
12 not be controlled by the party and could not
13 reasonably be remedied by the party prior to the
14 conference by providing a replacement representative,
15 or
- 16 b. the necessity of obtaining additional information,
17 securing the attendance of a necessary professional,
18 or the avoidance of significant financial hardship.

19 2. If the policyholder demonstrates to the mediator the need
20 for expedited mediation conference due to an undue hardship, the
21 conference shall be conducted at the earliest date convenient to all
22 of the parties and the mediator. Undue hardship shall be
23 demonstrated if holding the conference on a non-expedited basis
24 would interfere with or contradict the treatment of a severe illness

1 or injury, substantially impair a party's ability to assert their
2 position at the conference, result in significant financial
3 hardship, or other reasonably justified grounds.

4 H. An insurer shall be deemed to have failed to appear if the
5 insurer's representative lacks authority to settle the full value of
6 the claim. The authority to settle a claim shall include the
7 ability to disburse the full settlement amount within ten (10) days
8 of the conclusion of the conference. The insurer shall produce at
9 the conference a copy of the policy and shall bring the entire
10 claims file to such conference.

11 I. Any violation of this section by an insurer shall subject
12 the insurer to discipline including a civil penalty not more than
13 Ten Thousand Dollars (\$10,000.00), in addition to any other
14 penalties provided by law.

15 J. The Commissioner may promulgate rules necessary for the
16 enforcement of the provisions of this section.

17 SECTION 14. AMENDATORY 36 O.S. 2021, Section 1250.6, is
18 amended to read as follows:

19 Section 1250.6. A. Every property and casualty insurer, within
20 ~~thirty (30)~~ fourteen (14) days after receiving notification of a
21 claim, shall acknowledge the receipt of such notification unless
22 payment is made within such period of time. If an ~~acknowledgement~~
23 acknowledgment is made by means other than writing, an appropriate
24 notation of such ~~acknowledgement~~ acknowledgment shall be made in the

1 claim file of the property and casualty insurer, and dated.
2 Notification given to an agent of a property and casualty insurer
3 shall be notification to the insurer. The acknowledgment shall
4 include the Homeowners Claims Bill of Rights established in Section
5 15 of this act.

6 B. Every property and casualty insurer, upon receiving
7 notification of a claim, promptly shall provide necessary claim
8 forms, instruction, and reasonable assistance so that ~~first-party~~
9 first-party claimants can comply with the policy conditions and the
10 reasonable requirements of the property and casualty insurer.
11 Compliance with this ~~paragraph~~ subsection within thirty (30) days
12 after notification of a claim shall constitute compliance with
13 subsection A of this section.

14 C. Every property and casualty insurer shall send the
15 policyholder a copy of any detailed estimate of the amount of the
16 loss within seven (7) days after the estimate is generated by an
17 insurer's adjuster. This subsection shall not be construed to
18 require an insurer to create a detailed estimate of the amount of
19 the loss if such estimate is not reasonably necessary as part of the
20 claims investigation.

21 SECTION 15. NEW LAW A new section of law to be codified
22 in the Oklahoma Statutes as Section 1250.6a of Title 36, unless
23 there is created a duplication in numbering, reads as follows:
24

1 A. An insurer issuing a personal lines residential property
2 insurance policy in this state shall provide a Homeowners Claims
3 Bill of Rights to a policyholder within fourteen (14) days after
4 receiving an initial communication with respect to a claim.

5 B. Any violation of the provisions of this section shall
6 constitute a violation of the Unfair Claims Settlement Practices
7 Act, and the Insurance Commissioner may, after notice and
8 opportunity for a hearing, subject an insurer to civil penalties set
9 forth in Sections 1250.13 and 1250.14 of Title 36 of the Oklahoma
10 Statutes, along with any other penalties set forth in law.

11 C. The Homeowners Claims Bill of Rights shall include:

12 "HOMEOWNERS CLAIMS BILL OF RIGHTS

13 This bill of rights is specific to the claims process and does
14 not represent all of your rights under Oklahoma law regarding your
15 policy. This document does not prohibit an insurer from exercising
16 any right to repair damaged property in compliance with the terms of
17 an applicable policy.

18 YOU HAVE THE RIGHT TO:

19 1. Receive from your insurance company an acknowledgment of
20 your reported claim within fourteen (14) days after the time you
21 communicated the claim;

22 2. Receive from your insurance company within thirty (30) days
23 after you have submitted an executed proof-of-loss statement to your
24

1 insurance company, confirmation that your claim is accepted or
2 denied or if further investigation is necessary;

3 3. Receive from your insurance company a copy of any detailed
4 estimate of the amount of the loss within seven (7) days after the
5 estimate is generated by the insurance company's adjuster;

6 4. Receive from your insurance company within sixty (60) days
7 after you have submitted an executed proof-of-loss statement either:

8 a. full settlement payment for your claim or payment of
9 the undisputed portion of your claim,

10 b. denial of your claim, or

11 c. notice that the insurer needs more time to investigate
12 the claim and stating the reason why;

13 5. If an insurer provides notice that it needs more time to
14 investigate the claim, receive from your insurance company within
15 ninety (90) days after you have submitted an executed proof-of-loss
16 statement either:

17 a. full settlement payment for your claim or payment of
18 the undisputed portion of your claim, or

19 b. denial of your claim.

20 In the event of a weather-related catastrophe or a major natural
21 disaster, as declared by the Governor, the Insurance Commissioner
22 may approve a request to extend this deadline an additional twenty
23 (20) days; and
24

1 6. Contact the Insurance Department via telephone or website
2 for assistance with any insurance claim or questions pertaining to
3 the handling of your claim.

4 YOU ARE ADVISED TO:

5 1. File all claims directly with your insurance company;

6 2. Contact your insurance company before entering into any
7 contract for repairs to confirm any managed repair policy provisions
8 or optional preferred vendors;

9 3. Make and document emergency repairs that are necessary to
10 prevent further damage. Keep the damaged property, if feasible,
11 keep all receipts, and take photographs or video recordings of
12 damage before and after any repairs to provide to your insurer;

13 4. Carefully read any contract that requires you to pay out-of-
14 pocket expenses or a fee that is based on a percentage of the
15 insurance proceeds that you will receive for repairing or replacing
16 your property;

17 5. Confirm that the contractor you chose is licensed to do
18 business in Oklahoma. You can verify a contractor's license and
19 check to see if there are any complaints against him or her by
20 calling the Construction Industries Board. You should also ask the
21 contractor for references from previous work;

22 6. Require all contractors to provide proof of insurance before
23 beginning repairs; and
24

1 7. Take precautions if the damage requires you to leave your
2 home, including securing your property, turning off your gas, water,
3 and electricity, and contacting your insurance company, and provide
4 a phone number where you can be reached."

5 SECTION 16. AMENDATORY 36 O.S. 2021, Section 1250.7, is
6 amended to read as follows:

7 Section 1250.7. A. Within ~~sixty (60)~~ thirty (30) days after
8 receipt by a property and casualty insurer of properly executed
9 proofs of loss, the ~~first-party~~ first-party claimant shall be
10 advised of the acceptance or denial of the claim by the insurer, or
11 if further investigation is necessary. No property and casualty
12 insurer shall deny a claim because of a specific policy provision,
13 condition, or exclusion unless reference to such provision,
14 condition, or exclusion is included in the denial. A denial shall
15 be given to any claimant in writing, and the claim file of the
16 property and casualty insurer shall contain a copy of the denial.
17 If there is a reasonable basis supported by specific information
18 available for review by the Insurance Commissioner that the ~~first~~
19 ~~party~~ first-party claimant has fraudulently caused or contributed to
20 the loss, a property and casualty insurer shall be relieved from the
21 requirements of this subsection. In the event of a weather-related
22 catastrophe or a major natural disaster, as declared by the
23 Governor, the Insurance Commissioner may extend the deadline imposed
24 under this subsection an additional twenty (20) days.

1 B. If a claim is denied for reasons other than those described
2 in subsection A of this section, and is made by any other means than
3 writing, an appropriate notation shall be made in the claim file of
4 the property and casualty insurer until such time as a written
5 confirmation can be made.

6 C. Every property and casualty insurer shall complete
7 investigation of a claim within sixty (60) days after notification
8 of proof of loss unless such investigation cannot reasonably be
9 completed within such time. If such investigation cannot be
10 completed, or if a property and casualty insurer needs more time to
11 determine whether a claim should be accepted or denied, it shall so
12 notify the claimant in writing within sixty (60) days after receipt
13 of the proofs of loss, giving reasons why more time is needed. ~~If~~
14 ~~the investigation remains incomplete, a property and casualty~~
15 ~~insurer shall, within sixty (60) days from the date of the initial~~
16 ~~notification, send to such claimant a letter setting forth the~~
17 ~~reasons additional time is needed for investigation.~~ Except for an
18 investigation of possible fraud or arson which is supported by
19 specific information giving a reasonable basis for the
20 investigation, the time for investigation shall not exceed ~~one~~
21 ~~hundred twenty (120)~~ ninety (90) days after receipt of proof of
22 loss. Provided, in the event of a weather-related catastrophe or a
23 major natural disaster, as declared by the Governor, the Insurance
24

1 Commissioner may extend this deadline for investigation an
2 additional twenty (20) days.

3 D. Within the applicable timelines set forth in subsection C of
4 this section, the insurer shall pay or deny such claim. If the
5 insurer's claim payment is less than specified in any insurer's
6 detailed estimate pursuant to subsection C of Section 1250.6 of this
7 title of the amount of the loss, the insurer shall provide a
8 reasonable explanation in writing of the difference to the
9 policyholder. Any untimely payment of an initial or supplemental
10 claim or portion of such claim shall bear simple interest at the
11 rate of ten percent (10%) per year. Interest shall begin to accrue
12 from the date the insurer receives notice of the claim. The
13 provisions of this subsection shall not be waived, voided, or
14 nullified by the terms of the insurance policy. If there is a right
15 to prejudgment interest, the insured shall select whether to receive
16 prejudgment interest of interest accrued pursuant to this
17 subsection. Interest shall be payable when the claim, or portion of
18 the claim, is paid. Failure to comply with this subsection shall
19 constitute a violation of this section, but shall not form the sole
20 basis for a private cause of action. Insurers shall not fail to
21 settle ~~first party~~ first-party claims on the basis that
22 responsibility for payment should be assumed by others except as may
23 otherwise be provided by policy provisions.

1 E. Insurers shall not continue or delay negotiations for
2 settlement of a claim directly with a claimant who is neither an
3 attorney nor represented by an attorney, for a length of time which
4 causes the claimant's rights to be affected by a statute of
5 limitations, or a policy or contract time limit, without giving the
6 claimant written notice that the time limit is expiring and may
7 affect the claimant's rights. Such notice shall be given to ~~first~~
8 ~~party~~ first-party claimants and ~~third-party~~ third-party claimants
9 one (1) year after the date of the loss.

10 F. No insurer shall make statements which indicate that the
11 rights of a ~~third-party~~ third-party claimant may be impaired if a
12 form or release is not completed within a given period of time
13 unless the statement is given for the purpose of notifying a ~~third~~
14 ~~party~~ third-party claimant of the provision of a statute of
15 limitations.

16 G. If a lawsuit on the claim is initiated, the time limits
17 provided for in this section shall not apply.

18 H. If an insurer denies a homeowner's claim, in whole or in
19 part, based solely on the use of video recordings or photographs of
20 the loss using aerial imaging including, but not limited to, drones,
21 driverless vehicles, or other machines that can move independently
22 or through remote control, the insurer shall establish a process
23 allowing the insured to appeal such denial within thirty (30) days
24 of the insured's receipt of the insurer's full and final

1 determination on the claim. The insurer's evaluation of an appeal
2 pursuant to this subsection shall include an in-person inspection of
3 the loss. A determination on the appeal shall be completed, and the
4 insured shall be notified within thirty (30) days of the request of
5 the appeal.

6 SECTION 17. AMENDATORY 36 O.S. 2021, Section 1250.14, is
7 amended to read as follows:

8 Section 1250.14. A. For any violation of the Unfair Claims
9 Settlement Practices Act, the Insurance Commissioner may, after
10 notice and hearing, subject an insurer to a civil penalty ~~of not~~
11 ~~less than One Hundred Dollars (\$100.00) nor more than Five Thousand~~
12 ~~Dollars (\$5,000.00)~~ Ten Thousand Dollars (\$10,000.00) for each
13 occurrence. In addition to or in lieu of any fine, the Commissioner
14 may suspend, refuse to renew, put on probation, or revoke an
15 insurer's certificate of authority, license, or any other
16 registration or similar approval that has been issued by the
17 Commissioner to conduct business in this state. Such civil penalty
18 may be enforced in the same manner in which civil judgments may be
19 enforced.

20 B. The Commissioner may direct the person or organization
21 against whom the order was issued to make complete restitution, in
22 the form, manner, and amount within a time period prescribed by the
23 Commissioner, to all residents or insured persons of this state or
24 entities operating in this state damaged by the violation or failure

1 to comply with the provisions of any statute, rule, bulletin, or
2 order for which the Commissioner has jurisdiction.

3 SECTION 18. AMENDATORY 36 O.S. 2021, Section 3629, is
4 amended to read as follows:

5 Section 3629. A. An insurer shall furnish, upon written
6 request of any insured claiming to have a loss under an insurance
7 contract issued by such insurer, forms of proof of loss for
8 completion by such person, but such insurer shall not, by reason of
9 the requirement so to furnish forms, have any responsibility for or
10 with reference to the completion of such proof or the manner of any
11 such completion or attempted completion.

12 B. It shall be the duty of the insurer, receiving a proof of
13 loss, to submit a written offer of settlement or rejection of the
14 claim to the insured within sixty (60) days of receipt of that proof
15 of loss. Upon a judgment rendered to either party, costs and
16 attorney fees shall be allowable to the prevailing party. For
17 purposes of this section, the prevailing party is the insurer in
18 those cases where judgment does not exceed written offer of
19 settlement. In all other judgments the insured shall be the
20 prevailing party. If the insured is the prevailing party, the court
21 in rendering judgment shall add interest on the verdict at the rate
22 of fifteen percent (15%) per year from the date the loss was payable
23 pursuant to the provisions of the contract to the date of the
24 verdict; provided, such interest rate shall not apply to property

1 insurance, as defined in Section 704 of this title. This provision
2 shall not apply to uninsured motorist coverage.

3 SECTION 19. AMENDATORY 36 O.S. 2021, Section 3639.1, is
4 amended to read as follows:

5 Section 3639.1. A. For the purpose of this section,
6 "authorized inspector" means an inspector who is approved by the
7 insurer and who is:

8 1. An adjuster as defined in Section 6202 of this title;

9 2. A home inspector as defined in Section 858-622 of Title 59
10 of the Oklahoma Statutes;

11 3. A building code inspector certified under Section 1000.23 of
12 Title 59 of the Oklahoma Statutes;

13 4. A registered roofing contractor pursuant to Section 1151.3
14 of Title 59 of the Oklahoma Statutes;

15 5. A professional engineer licensed under Section 475.12a of
16 Title 59 of the Oklahoma Statutes; or

17 6. A professional architect licensed under Section 46.8a of
18 Title 59 of the Oklahoma Statutes.

19 B. No insurer shall cancel, refuse to renew, terminate, or
20 increase the premium of a homeowner's insurance policy or any other
21 personal residential insurance coverage including, ~~which~~ but not
22 limited to, flood insurance:

1 1. Which has been in effect more than forty-five (45) days,
2 solely because the insured filed a first claim against the policy or
3 submitted any number of inquiries on the policy;

4 2. Because of a claim that occurred more than five (5) years
5 before the effective date of the policy or renewal; or

6 3. Based on the claims history of an insured for weather-
7 related claims, unless there were three or more weather-related
8 claims within the preceding three-year period. This paragraph shall
9 not apply to claims for weather-related events for which the insurer
10 provided written notice to the insured for reasonable or customary
11 repairs or replacement specific to the insured's premises or
12 dwelling that the insured failed to make and that, if made, would
13 have prevented the loss for which a claim was made.

14 C. No insurer shall refuse to underwrite risk for a homeowner's
15 insurance policy or any other personal residential insurance
16 coverage including, but not limited to, flood insurance, because of
17 a claim that occurred more than five (5) years before the date of
18 application.

19 D. The provisions of this section shall not be construed to
20 prevent the cancellation, nonrenewal, or increase in premium of a
21 homeowner's insurance policy for the following reasons:

22 1. Nonpayment of premium;
23
24

1 2. Discovery of fraud or material misrepresentation in the
2 procurement of the insurance or with respect to any claims submitted
3 thereunder;

4 3. Discovery of willful or reckless acts or omissions on the
5 part of the named insured which increase any hazard insured against;

6 4. A change in the risk which substantially increases any
7 hazard insured against after insurance coverage has been issued or
8 renewed;

9 5. Violation of any local fire, health, safety, building, or
10 construction regulation or ordinance with respect to any insured
11 property or the occupancy thereof which substantially increases any
12 hazard insured against;

13 6. A determination by the Insurance Commissioner that the
14 continuation of the policy would place the insurer in violation of
15 the insurance laws of this state; or

16 7. Conviction of the named insured of a crime having as one of
17 its necessary elements an act increasing any hazard insured against.

18 ~~B.~~ E. An insurer shall give to the named insured at the mailing
19 address shown on a homeowner's policy, a written renewal notice that
20 shall include new premium, new deductible, new limits, or coverage
21 at least thirty (30) days prior to the expiration date of the
22 policy. If the insurer fails to provide such notice, the premium,
23 deductible, limits, and coverage provided to the named ~~insurer~~
24 insured prior to the change shall remain in effect until notice is

1 given or until the effective date of replacement coverage obtained
2 by the named insured, whichever occurs first. If notice is given by
3 mail, the notice shall be deemed to have been given on the day the
4 notice is mailed. If the insured elects not to renew, any earned
5 premium for the period of extension of the terminated policy shall
6 be calculated pro rata at the lower of the current or previous
7 year's rate. If the insured accepts the renewal, the premium
8 increase, if any, and other changes shall be effective the day
9 following the prior policy's expiration or anniversary date.

10 ~~€~~ F. In the event an insured cancels a homeowner's insurance
11 policy or any other personal residential insurance coverage, written
12 notice shall be provided by the insured to the insurer that provided
13 the coverage being canceled. The notice of cancellation shall
14 provide the date of the cancellation of the policy and the insurer
15 shall reimburse the insured for any premiums paid for coverage
16 beyond the date of cancellation of the policy.

17 ~~D.~~ G. An insurer canceling a policy under subsection ~~€~~ F of
18 this section shall not be liable for claims arising after the date
19 of cancellation.

20 H. If an insurer denies a homeowner's claim, in whole or in
21 part, based solely on the use of video recordings or photographs of
22 the loss using aerial imaging including, but not limited to, drones,
23 driverless vehicles, or other machines that can move independently
24 or through remote control, the insurer shall establish a process

1 allowing the insured to appeal such denial within thirty (30) days
2 of the insured's receipt of the insurer's full and final
3 determination on the claim. The insurer's evaluation of an appeal
4 pursuant to this subsection shall include an in-person inspection of
5 the loss. A determination on the appeal shall be completed, and the
6 insured shall be notified within thirty (30) days of the request of
7 the appeal.

8 I. An insurer shall not reduce coverage, refuse to issue, or
9 refuse to renew a homeowner's policy insuring a residential
10 structure with a roof that is less than fifteen (15) years old
11 solely because of the age of the roof. For a roof that is fifteen
12 (15) years of age or older, an insurer shall allow a homeowner to
13 have a roof inspection performed by an authorized inspector at the
14 homeowner's expense before requiring the replacement of the roof of
15 a residential structure as a condition of issuing or renewing a
16 homeowner's insurance policy. The insurer shall not refuse to issue
17 or renew a homeowner's insurance policy solely because of roof age
18 if an inspection of the roof of the residential structure performed
19 by an authorized inspector indicates that the roof has five (5)
20 years or more of useful life remaining.

21 J. For the purposes of this section, a roof's age shall be
22 calculated using the last date on which one hundred percent (100%)
23 of the roof's surface area was built or replaced in accordance with
24 the building code in effect at the time of the initial date of

1 partial roof replacement with subsequent partial roof builds or
2 replacements that result in one hundred percent (100%) of the roof's
3 surface area being built or replaced.

4 SECTION 20. This act shall become effective November 1, 2026.

5 COMMITTEE REPORT BY: COMMITTEE ON BUSINESS AND INSURANCE
6 March 5, 2026 - DO PASS AS AMENDED BY CS
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